

Business Analysis Report: Task 3

❖ Overview

This report presents a comprehensive business analysis based on the Advanced Data Analytics & Business Intelligence Task 3 dashboard and dataset. The analysis focuses on company growth trends, regional performance, category growth, discount impact on profitability, customer segment contribution, and strategic business recommendations.

The analysis was performed using:

- Excel
- PostgreSQL (SQL)
- Power BI

The objective of this report is to transform raw retail sales data into actionable business insights using KPI analysis, variance analysis, and executive-level dashboarding.

1. Is the Company Growing Month-over-Month?

Based on the monthly sales trend analysis:

- The company demonstrates strong sales performance during the first half of the year.
- Sales peak around March and June, crossing approximately \$600K in monthly sales.
- A gradual decline is observed after July, with lower and relatively stable sales during the second half of the year.
- The Growth % KPI indicates fluctuating month-over-month performance, showing periods of both expansion and contraction.

Insight:

- The business is experiencing inconsistent monthly growth rather than steady expansion.
- Early-year demand is significantly stronger compared to late-year performance.
- Seasonal purchasing behavior appears to heavily influence sales trends.

Recommendation:

- Introduce seasonal campaigns during weaker months (Q3 and Q4) to stabilize revenue.
- Replicate marketing strategies and promotional activities used during the high-performing months.
- Focus on customer retention programs during low-growth periods.

2. Which Region is Underperforming?

According to the regional sales analysis:

- The North region generates the highest overall sales contribution.
- East and Central regions maintain competitive performance.
- The West region shows comparatively lower sales contribution among all regions.

Insight:

- The West region is currently the weakest-performing region in terms of revenue generation.
- Lower market penetration or weaker customer engagement may be affecting regional performance.

Recommendation:

- Increase targeted marketing efforts in the West region.
- Analyze customer behavior and product demand specific to the West region.
- Introduce localized promotional campaigns and improve distribution efficiency.

3. Which Category has the Highest Growth?

Based on category performance and growth comparison:

- Technology-related products such as Printers, Laptops, and Tablets contribute significantly to sales and profitability.
- Printer products generate the highest overall profit among all product categories.
- Technology products consistently outperform furniture and office-related products.

Insight:

- The Technology category demonstrates the strongest growth potential and profitability.
- High customer demand and stronger margins make technology products the key business drivers.

Recommendation:

- Prioritize inventory allocation toward high-performing technology products.
- Expand cross-selling strategies between technology accessories and primary devices.
- Invest more in digital marketing campaigns targeting technology buyers.

4. Are Discounts Reducing Profit?

Analysis of discount impact on profitability shows:

- Transactions with discounts generally generate lower profit margins compared to non-discounted sales.
- Excessive discounting reduces the company's average profit per transaction.
- Some high-sales products maintain revenue growth but suffer from weaker profitability due to discount pressure.

Insight:

- Discounts are helping generate sales volume but are simultaneously reducing overall profitability.
- Over-reliance on discounts may weaken long-term profit sustainability.

Recommendation:

- Reduce unnecessary blanket discounts.
- Replace direct discounts with bundle offers and loyalty incentives.
- Apply discounts strategically only for inventory clearance or customer acquisition campaigns.

5. Which Customer Segment Contributes the Most Revenue?

From the segment contribution analysis:

- The Consumer segment contributes the largest share of total revenue.
- Corporate customers contribute a moderate share.
- The Home Office segment contributes the smallest percentage of revenue.

Insight:

- Consumer customers are the primary revenue drivers for the business.
- The company's strongest customer base lies within the consumer market.

Recommendation:

- Focus retention campaigns and loyalty programs on Consumer segment customers.
- Develop targeted marketing strategies for Corporate and Home Office segments to diversify revenue streams.
- Improve personalized customer engagement using purchasing behavior analysis.

6. Strategic Actions Management Should Take

Based on the overall business analysis, the following strategic actions are recommended:

Business Growth Strategy

- Focus expansion efforts on high-performing regions and technology products.
- Improve sales consistency across all quarters by reducing seasonal dependence.

Profit Optimization

- Minimize excessive discounting to protect profit margins.
- Promote bundled offers instead of direct price reductions.

Customer Strategy

- Strengthen loyalty programs for Consumer segment customers.
- Improve engagement with underperforming customer segments.

Regional Strategy

- Increase promotional campaigns in underperforming regions like the West.
- Analyze regional demand patterns for better inventory planning.

Operational Strategy

- Use KPI dashboards regularly for performance monitoring.
- Continuously track Growth %, Profit Margin, and Revenue Contribution KPIs for decision-making.

❖ *Conclusion*

Task 3 analysis highlights a business with strong revenue potential, particularly in technology products and consumer-driven sales. However, the company experiences fluctuating month-over-month growth and weaker second-half yearly performance.

The North region remains the strongest market contributor, while the West region requires strategic improvement initiatives. Discounting practices are reducing profitability and should be optimized carefully.

By focusing on KPI-driven decision-making, improving regional balance, strengthening customer retention, and reducing unnecessary discounting, the business can achieve more stable long-term growth and profitability.